

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-09

TZ SSE Buyer, LLC, Complainants v. COSCO Shipping Lines Co., Ltd., Respondent

JOINT STATUS REPORT AND PROPOSED AMENDED DISCOVERY SCHEDULE

Pursuant to the Commission’s October 16, 2024 Order (the “Order”) and 46 C.F.R. § 502.141(h), Complainant TZ SSE Buyer, LLC (“Complainant”) and Respondent COSCO Shipping Lines Co., Ltd. (“Respondent” and, collectively with Complainant, the “Parties”), by their respective undersigned counsel, have conferred and submit this joint status report and discovery schedule:

The October 16, 2024 Order granted Complainant’s motion for leave to file a second amended complaint, and required Respondent to respond to the second amended complaint within 14 days after service (which occurred on October 17, 2024). In addition, the Order required the Parties to submit a joint status report by October 31, 2024, with a proposed revised discovery schedule. The Parties do not currently anticipate needing depositions or interrogatories in this case in excess of the amounts contemplated by 46 C.F.R. §§ 502.143 (i.e., no more than 20 depositions) and 502.145 (i.e., no more than 50 written interrogatories), respectively.

With only a single exception (affecting three dates, highlighted below), the Parties have agreed on a proposed amended discovery schedule. That one exception relates to the use of experts, as to which the Parties present their respective positions below.

THE PARTIES' PROPOSED SCHEDULE

The Parties propose the following amended discovery schedule, with the limited area as to which they disagree highlighted for ease of reference:

Event	Deadline
Supplemental Initial Disclosures Due	Nov. 18, 2024
Respondent to identify rebuttal expert witness, if any	Nov. 19, 2024
Respondent to serve responses to Complainant's initial written discovery requests. Depositions may begin to be noticed	Dec. 3, 2024
Complainant to serve expert report, if any	Dec. 6, 2024
Respondent to serve rebuttal expert reports, if any	Jan. 13, 2025
Last date to serve supplemental written discovery requests	Feb. 7, 2025
Complete Depositions	April 4, 2024
Discovery ends	April 7, 2025
Complainants' Opening Brief, Proposed Findings of Fact, and Appendix	May 5, 2025
Respondents' Response Brief, Proposed Findings of Fact, and Appendix	June 2, 2025
Complainants' Reply Brief and Responses to Proposed Findings of Fact	June 16, 2025

THE PARTIES POSITIONS ON EXPERTS

1. **Complainant.** Complainant briefly responds to Respondent's objections below. First, this is not a case of Complainant willingly missing deadlines and carelessly disregarding the Presiding Officer's orders. The previous complainants complied with all deadlines set in the Presiding Officer's June 24, 2024 Second Scheduling Order until the bankruptcy sale prevented

further compliance. This included: (1) serving initial disclosures, (2) serving written discovery requests, (3) identifying their expert witness, (4) responding to Respondent's discovery requests, and (5) producing documents in response to those requests.

Second, Respondent's claim that Complainant is using the bankruptcy as an excuse to avoid deadlines is baseless. A Chapter 11 bankruptcy sale is a complex process involving asset transfers, contract renegotiations, and reviews of the former owner's assets—tasks that cannot be completed overnight. The previous complainants made a good faith effort to meet all discovery deadlines until the bankruptcy sale made it impossible to do so. The substitution of the complainants after a bankruptcy sale is not immediate, as Respondent implies. Complainant's counsel was unable to serve the expert report until receiving direction from the new Complainant regarding whether it would proceed with this underlying case. The Complainant of course could not determine whether to proceed with this underlying case without first reviewing all relevant documents from this proceeding—an extensive process that Respondent misleadingly portrays as quick and straightforward.

Respondent, without legitimate cause, aims to have the Presiding Officer deny Complainant their legal right to fully conduct discovery, including the submission of an expert report. This approach would unfairly benefit Respondent's defense by preventing the Presiding Officer from considering expert analysis on the maritime vessel carrier transportation industry during the relevant period. Respondent has not shown any legitimate prejudice that would arise from Complainant submitting their expert report. Respondent's claims regarding time and cost are unfounded, as these factors are inherent to any FMC or similar case.

Third, even under Respondent's proposed hypothetical schedule below, the prior scheduling order (dated June 24, 2024) set the close of discovery for November 2, meaning Complainant would still be entitled to complete any outstanding discovery delayed by the bankruptcy sale.¹

Finally, Respondent fails to explain how Complainant has negatively impacted the proceeding, offering no legal authority to support their claim that the case will be prolonged. By Respondent's own logic, their objection to Complainant's proposed schedule above has also contributed to delaying this proceeding. Additionally, the Presiding Officer's October 16, 2024, Order placed no restrictions on the contents of the amended scheduling order, rendering Respondent's exclusions baseless.² The previous complainants adhered to all discovery deadlines in good faith until the bankruptcy sale prevented further compliance. Therefore, Respondent's delay tactics should be dismissed, and Complainant's proposed amended schedule should be adopted.

2. **Respondents**³. Respondents disagree with Complainant's request that the schedule be retroactively revised to allow Complainant a second chance to prepare and serve an expert

¹ Respondent argues, without support or citation, that expert reports are outside the scope of discovery. This claim is unfounded, as expert reports are expressly governed by the general provisions of discovery. *See generally* Fed. R. Civ. P. 26; 46 C.F.R. § 502.141. The November 2, 2024, discovery cutoff in the Second Scheduling Order does not limit discovery to 'factual' matters; it encompasses all discovery, including expert disclosures.

² Complainant also notes that Respondent's inflammatory and adversarial comments in this "joint status report" are unusual and inappropriate for a document typically meant to provide a status update. Complainant raised this concern with Respondent's counsel via email but, in the interest of efficiency, agreed to address Respondent's objections as part of this report.

³ Complainant quibbles about Respondent's "inflammatory and adversarial" language. This is, of course, an adversarial proceeding, so parties espousing different positions are by necessity

report, a right Complainant forfeited when it failed to serve such a report within the time frame mandated by the schedule then in effect.⁴ Complainant's proposal to give itself a mulligan would set the schedule backwards by months. In our view, the fact that the original complainants went bankrupt should not be an excuse for resuscitating a long moribund deadline, which expired without Complainant taking any measures to stay the matter or extend the deadlines.⁵ Complainant neither moved the Presiding Officer to extend the deadline nor sought a stay of the proceeding (as they agreed to by consent motion in Docket 24-08). Both of those measures were readily available to Complainant.⁶

As the Presiding Officer explained:

“The parties are reminded that a “scheduling order ‘is not a frivolous piece of paper, idly entered, which can be cavalierly disregarded by counsel without peril.’” *Johnson v. Mammoth Recreations, Inc.*, 975 F.2d 604, 610 (9th Cir. 1992) (quoting *Gestetner Corp. v. Case Equipment Co.*, 108 F.R.D. 138, 141 (D. Me. 1985)). Moreover, “[p]arties cannot control an agency’s docket or procedures through agreement among themselves.” *Simmons v. United States*, 698 F.2d 888, 893 (7th Cir. 1983). The authority of courts to control their dockets is well settled. *Link v.*

adversarial. As to inflammatory, we leave to the Presiding Officer whether our language is strong and persuasive or inflammatory (whatever that means in this context).

⁴ Complainant makes the unsupported assertion that the bankruptcy prevented further compliance with the Procedural Schedule. That is simply not true as far as we are aware. Perhaps **Counsel** was precluded from following the schedule, but surely the **Complainant itself** was not. Complainant could have instructed Counsel to file something on its behalf, it could have engaged new counsel to do so, or Complainant could have done so in its own name. Other bankrupt entities have made filings requesting a stay or additional time in other FMC proceedings, and in Docket No. 24-08, the same Complainant consented to a stay.

⁵ Complainant's counsel addresses Respondent's objections as if we were blaming them. We are not. We understand that counsel, by themselves, may not have been able to take certain measures without approval from the purchaser of the claims. As previously explained, the fault lies not with counsel, but squarely with Complainant, which could have instructed counsel, hired new counsel, or taken any number of steps rather than letting deadlines pass without action.

⁶ According to Complainant's September 27, 2024 Motion to Amend, the transfer of assets to the new Complainant occurred July 10, 2024, over two months before Complainant's expert report was due.

Wabash Railroad Co., 370 U.S. 626, 630-31 (1962); *United States v. Hughey*, 147 F.3d 423, 429 (5th Cir. 1998).

Accordingly. Respondent strenuously object to Complainant's belated attempt to revive its opportunity to file an expert report, the deadline for which passed on September 13, 2024.⁷ When the substitute Complainant purchased the claims from the former complainants, it necessarily purchased them as they then stood, including what had already transpired in the proceeding and the orders and deadlines issued therein by the Presiding Officer. The Presiding Officer should not reward Complainant, and substantially prolong this proceeding, by allowing Complainant a chance to do it all over again, and Complainant offers no reason why she should do so.

It cannot be gainsaid that giving Complainant a free pass will cause substantial delay and impose significant costs on Respondent. Without the requested waiver of the long ago expired deadline, Complainant will not file an expert report, and neither will Respondent. This will allow the Presiding Officer to move up other dates set out in the parties' proposals. And the cost saving to Respondent will be large.⁸ Accordingly, Respondents propose to do away with expert reports.

⁷ According to Complainant's September 27, 2024 Motion to Amend, the transfer of assets to the new Complainant occurred July 10, 2024, over two months before Complainant's expert report was due.

⁸ This puts paid Complainant's specious argument that Respondent has not demonstrated that grant of its motion will not prolong the proceeding and impose costs on Respondent. Expert reports are in any event of little or any value in cases alleging that a carrier improperly charged detention or demurrage. The Commission and the Court of Appeals for the D.C. Circuit have determined that claims for improper detention/demurrage cases must be made on a shipment-by-shipment, day by day basis, including a fact intensive review of such factors as whether a particular container could not have been picked up or returned on each day for which a charge was incurred, whether the inability to pick up or return the container on such specific date was with or without the fault of the complainant (or its agent) and whether imposition of a charge for that day for that container serves or diserves the flow of cargo. 46 C.F.R. 545.5; *TPG Pressure, Inc. v. Omni Logistics*, 2024

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Respectfully and jointly submitted,

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WL 4226354, at *14 (ALJ 2024); *Evergreen v. Federal Maritime Comm’n*, 105 F.4th 1113 (D.C. Cir. 2024). These issues simply cannot be addressed by outside experts.